

Global Aerospace & Defense

European Defense: War or peace - What budgets are saying



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2026 brought more wars and political instability, but Global Defense stocks recently sold off. Yet, we don't see valuations as particularly attractive overall, nor see a clear catalyst to trigger a recovery. Hence, we continue to favor self-help stories: Leonardo, Thales and Rheinmetall.

Deal or no deal. Putin's weakened position revived hopes of a cease-fire. And Ukraine's recent military performance plus media reports of eroding local support for Putin's war make the discussions more credible. But, we have seen similar hopes in the past. The incentives for Putin to keep fighting and the number of negotiating points still make a deal difficult to reach, in our view. If there was a sustainable cease-fire, we would expect European stocks to de-rate sharply, as it would lead to concerns over the sustainability of the re-arming cycle and remove the key catalyst for the sector: an active conflict in Europe.

European Defense still isn't cheap. Prior to the sell off that started in Q2'26, stocks were trading at peak valuations. And valuations are just below where they were at the start of the year (currently 12.9x EV/EBITDA vs. 13.6x at the beginning of 2026). We do not see these levels as a no-brainer. Nor do we see a clear catalyst to trigger the recovery.

The truth lies in the budgets. In a challenging environment for European Defense, we believe the key driver of long-term performance remains military budgets growth. We look for fundamental reassurance in the key geographies (US, Germany, France). We believe the re-arming cycle will continue until the end of the decade, even if there is durable peace in Ukraine. Therefore we believe stocks can still work.

United States. We do not expect the \$1.5tn budget to make it through Congress. But, even if only the "base" 2027 budget was approved, it would imply strong growth (\$1.1tn vs. \$0.9tn in 2026, +22%). In our European coverage **BAE Systems** (45% of sales) and **Leonardo** (25% of sales) are most exposed to the US and should strongly benefit. Even if they are not most exposed to the key segments (missiles, air defense systems, space).

Germany remains the best market in Europe. We model a +21% CAGR for the opportunity, captured by local champions and US/Israeli exporters. German players with exposure to ammunition, land vehicles and naval should benefit most. **Rheinmetall** is in the sweet spot.

France' s addressable market should grow at an +8% CAGR until 2030. **Thales** and **Dassault Aviation** should continue to capture a large share of the opportunity, given the focus on aircraft, space, ammunition and air defense.

We like three stocks, for three different reasons. **Leonardo** has the most room for earnings upgrades, in our view. We see the recent CEO change dip as an entry point. For **Thales**, we believe our tactical upgrade will start playing out in Q2'26. We see the set-up (lower expectations in Cyber paired with continued strength in the core business) as attractive. **Rheinmetall** is in a league of its own when it comes to growth (+29% sales CAGR until 2030 vs. peers +10%). The stock is in the penalty box because of short-term volatility but, at these levels, we see an attractive risk-reward into Q2'26. **BAE Systems** and **Dassault Aviation** are the most resilient but we struggle to see a catalyst for short-term upgrades. We expect **TKMS** to win a mega order in Canada but see the stock as fairly valued.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	5 Jun 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
RHM.GY (Rheinmetall)	O	EUR	1,209.80	1,900.00	(44.3)%	EUR	22.29	35.51	54.53	54.3	34.1	22.2
HO.FP (Thales)	O	EUR	232.40	260.00	(22.6)%	EUR	9.76	10.93	12.89	23.8	21.3	18.0
AM.FP (Dassault Aviation)	M	EUR	297.80	330.00	(16.2)%	EUR	13.60	16.93	20.58	21.9	17.6	14.5
BA/.LN (BAE Systems)	M	GBP	1,930.50	2,050.00	(10.8)%	GBP	0.75	0.86	0.99	25.7	22.4	19.4
TKMS.GY (TKMS)	M	EUR	75.90	76.00	NA	EUR	1.65	2.10	2.57	21.9	17.1	14.2
LDO.IM (Leonardo)	O	EUR	51.86	65.00	(13.6)%	EUR	2.12	2.34	2.78	24.4	22.2	18.7
EDME			1,542.17									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

LDO.IM estimate is Reported EPS; TKMS.GY valuation is EV/EBITDA (x); LDO.IM valuation is Reported P/E (x);

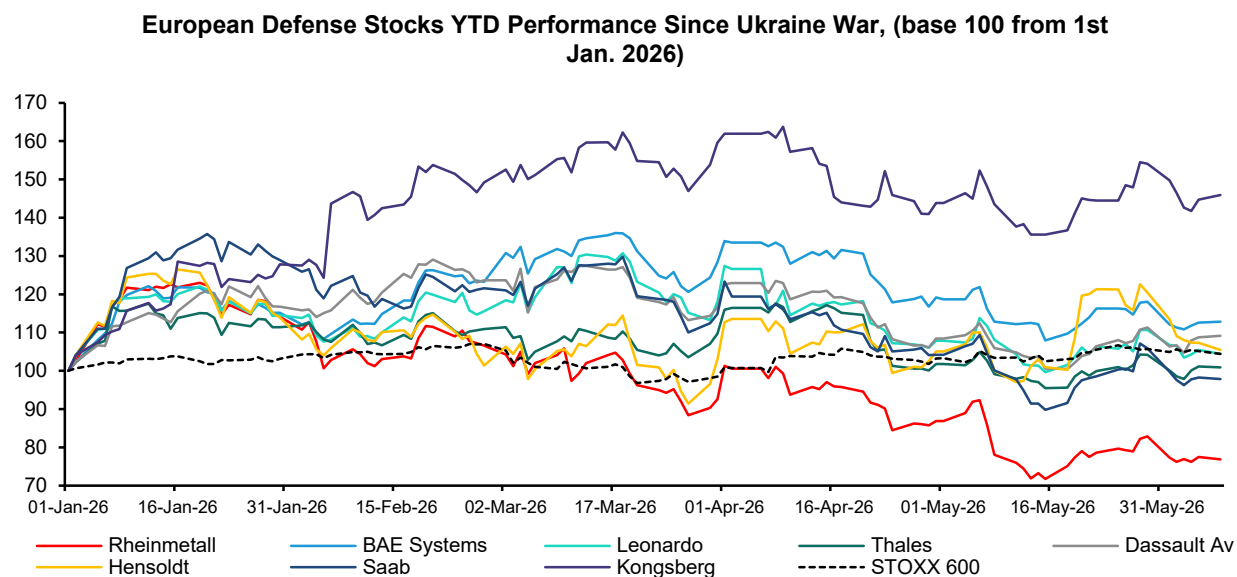
Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Leonardo, Thales and Rheinmetall Outperform. We rate TKMS, Dassault Aviation and BAE Systems Market-Perform.

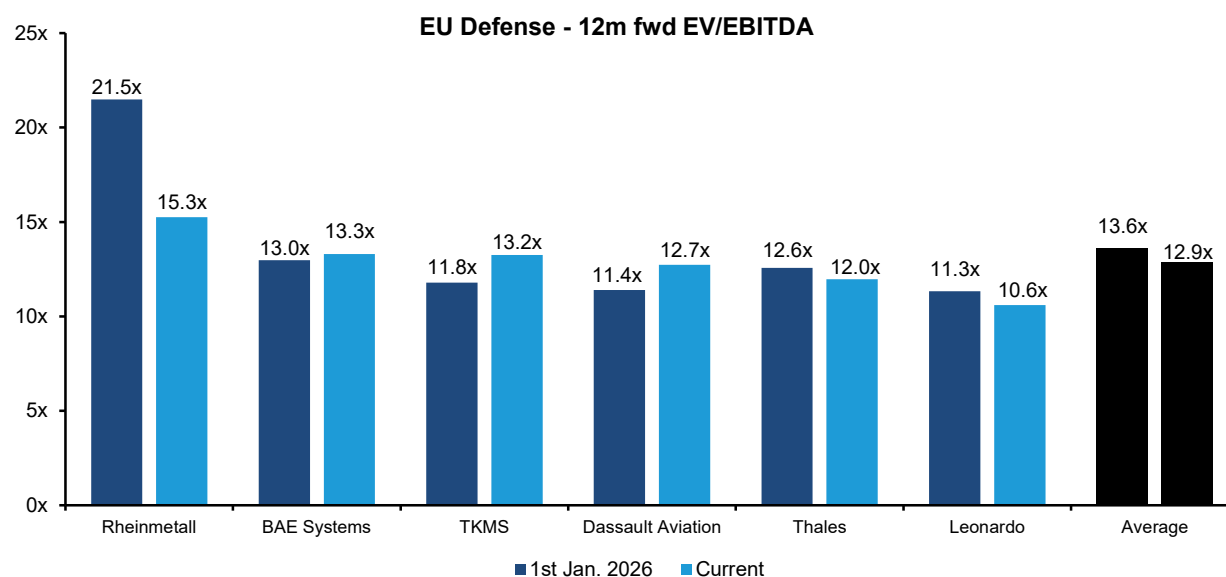
DETAILS

EXHIBIT 1: European Defense stocks have been weak since Q2'26...

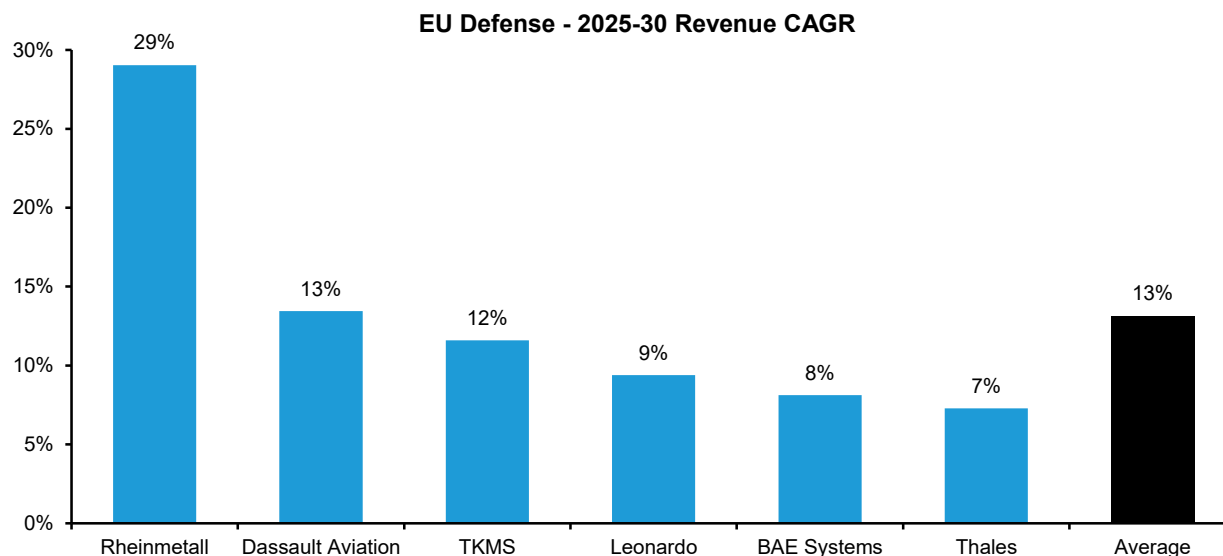


Source: Bloomberg, Bernstein analysis

EXHIBIT 2: ... But valuations are only back to the levels of January 2026



Source: Bloomberg, Bernstein analysis

EXHIBIT 3: **Rheinmetall should significantly outgrow peers until 2030**

Source: Bernstein analysis and estimates

We believe long-term performance for European Defense stocks will be driven by the geographical and segment exposure. We look for fundamental reassurance on the prospects, across key geographies.

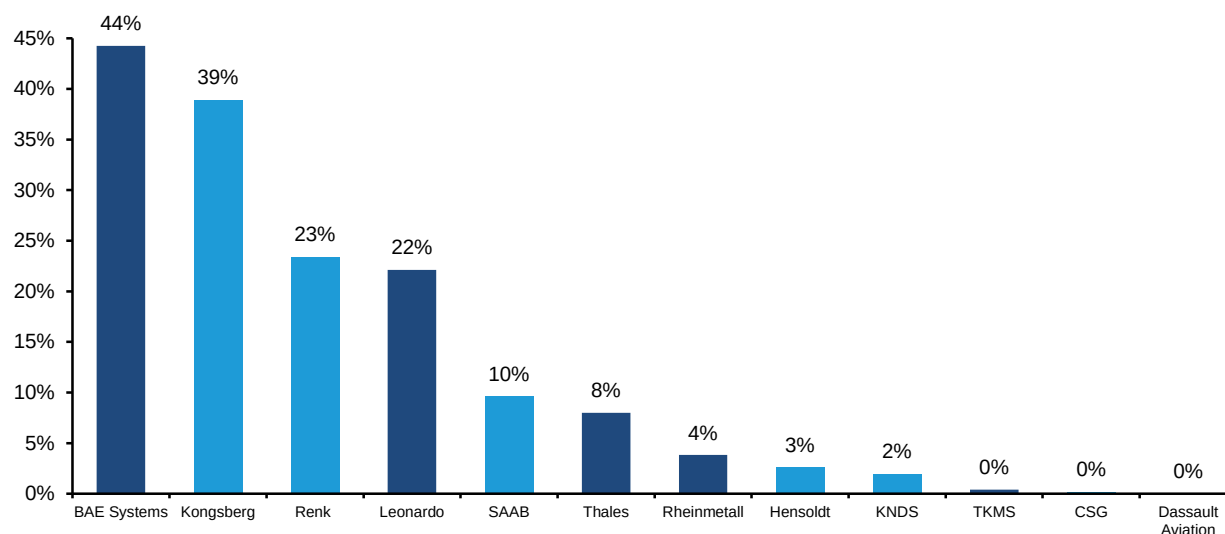
UNITED STATES

US stocks down despite the environment. The broad sector rotation out of Global A&D has impacted US defense primes too. Prior to the start of the Iran war, defense stocks were near peak historical valuations. While we see the fundamentals as solid for defense, it appears to have become less attractive at these levels when investors are seeking higher top line growth opportunities. We do not see any significant issues with specific US defense stocks. But, we also do not see a near-term catalyst that will take these stocks higher, despite the lower valuations.

A strong 2027 budget. The 2027 budget proposal of \$1.45tn, combining discretionary appropriations and reconciliation funding, is a record increase. We do not expect such a budget to make it through Congress, although we do expect upside. This view is consistent with perspectives we heard from defense CEOs at our Strategic Decisions Conference last week. Even if only the base budget request makes it through (i.e., no reconciliation), there would still likely be strong upside from a budget standpoint. And the base budget tends to be resilient, which should bring visibility over the coming years.

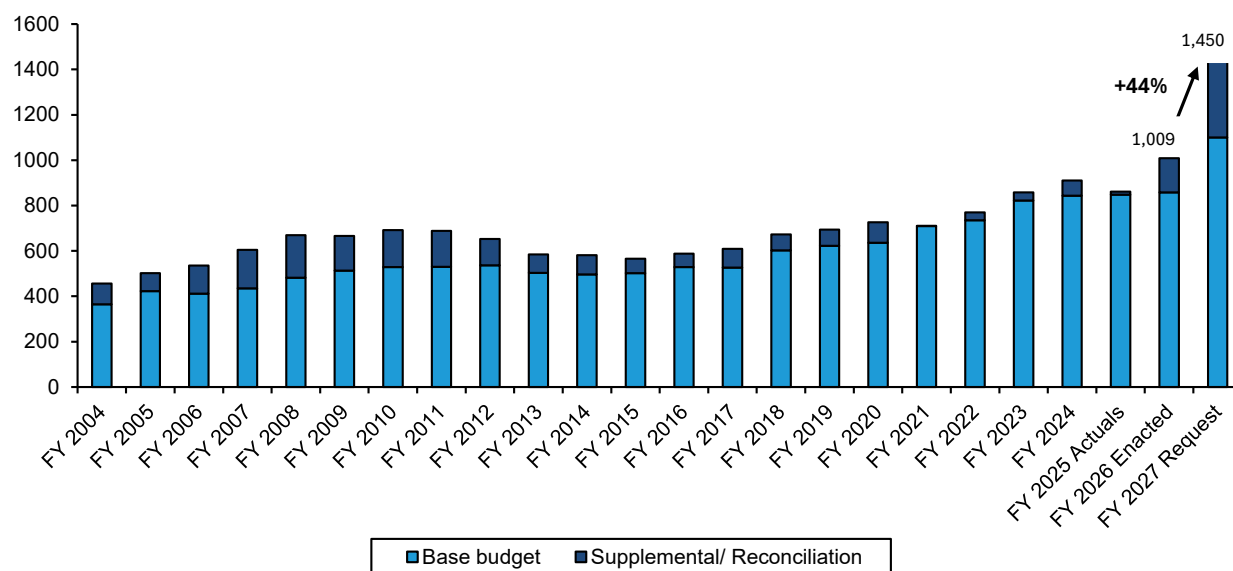
Space, missiles and air defense systems remain the key categories. We continue to see exposure to space, missiles, and missile defense as particularly attractive. Autonomous systems and counter-UAS are also critical emerging areas for demand. The large primes all have programs related to these emerging areas. But, these types of programs are being aggressively pursued by many new entrants (e.g., Anduril, Shield AI, Saronic (all private)). There will be a competitive shakeout over time.

Few European companies have sizable exposure to the US. **BAE Systems** should be the key beneficiary. The company might not be among the best positioned for space, missiles and air defense (or golden dome) but will largely benefit from the growing budgets. BAE Systems derives close to half of its sales from the US. **Leonardo** is also exposed (close to a quarter of sales), mostly through the DRS stake. The other European companies have limited exposure to the US budget.

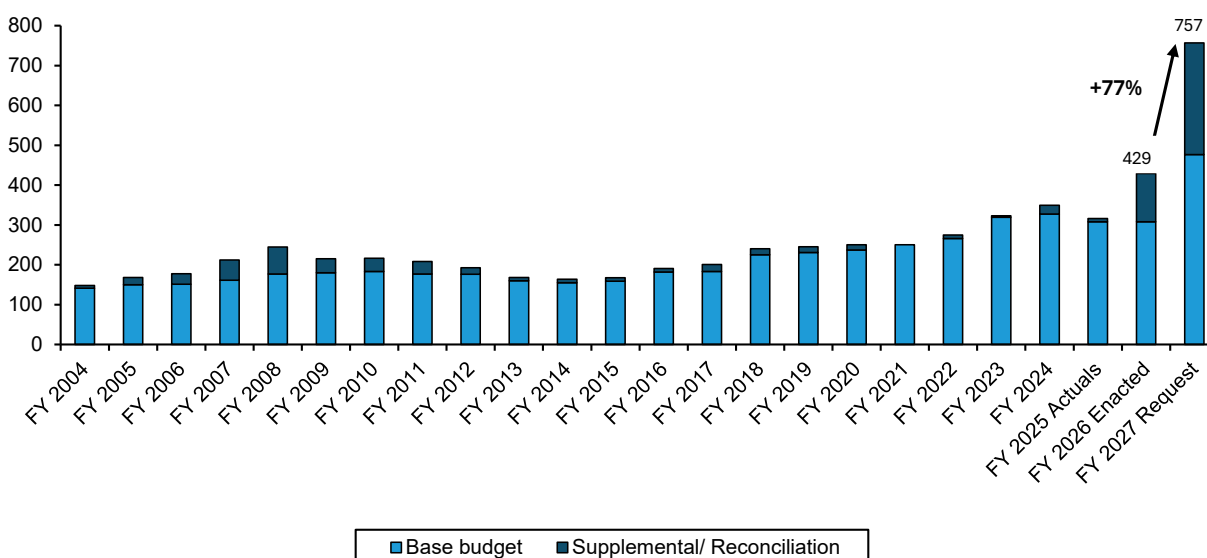
EXHIBIT 4: **Some European Defense companies have large exposure to the US market****EU Defense Revenue Exposure to US (excluding civil sales when possible), 2024**

* BAE Systems US revenue is at group level; Kongsberg North America revenue is for the Defense & Aerospace division; Renk America revenue is at group level; Leonardo US revenue is at group level excluding Aerostructure; SAAB North America revenue is at group level; Thales North America revenue is only for the Defense division; Rheinmetall revenues encompass North-, Middle- and South-America excluding Power Systems; Hensoldt North America revenue is at group level; KNDS Americas revenue is at group level; TKMS FY24 data is from the Marine System division from Thyssenkrupp before the spin-off; CSG US revenue is for the Defense division

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 5: **Total Defense Budget (\$bn)**

Source: DoW, the Congress, Bernstein analysis

EXHIBIT 6: **Total Inv Account (RDT&E + Procurement) Budget (\$bn)**

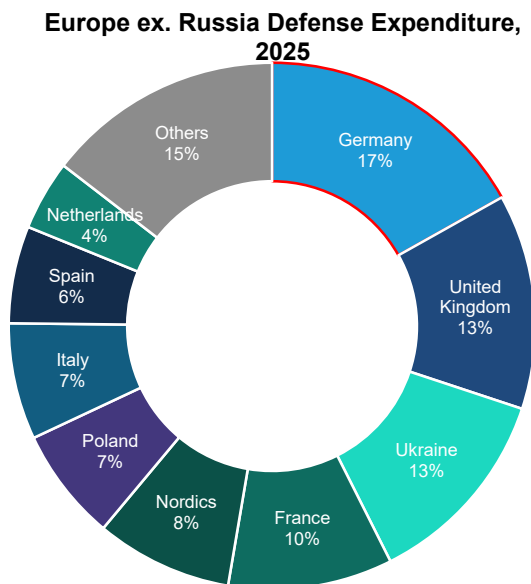
Source: DoW, the Congress, Bernstein analysis

GERMANY

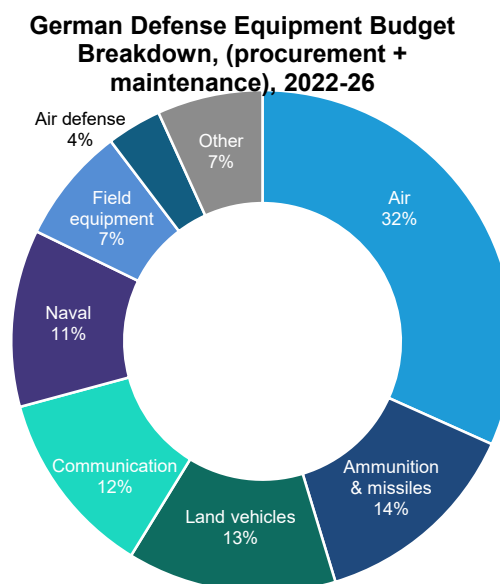
Germany is now the largest market in Europe. Germany accounts for 17% of Europe's 2025 military budget (ex. Russia). It has become the 4th largest country globally. Germany has been the most vocal on its ambition to re-arm and expects to spend 3.7% of GDP in defense by the end of the decade (vs. 2.2% of GDP in 2025). **The special fund to accelerate spending.** In 2022, Germany approved the creation of a €100bn special fund dedicated to defense (separate from the 2025 "German bazooka" of 500bn). The fund is aimed at financing equipment projects for the German Armed Forces. As of 2026, €73bn of the €100bn was spent.

Europe's sweet spot. Since 2022, the German budget doubled to just over €100bn. We expect it to grow to €180bn by 2030. This implies a +12% CAGR for the German budget. The opportunity should be amplified by higher spending on equipment (vs. personnel and infrastructure), driving a +21% CAGR for the addressable market until 2030.

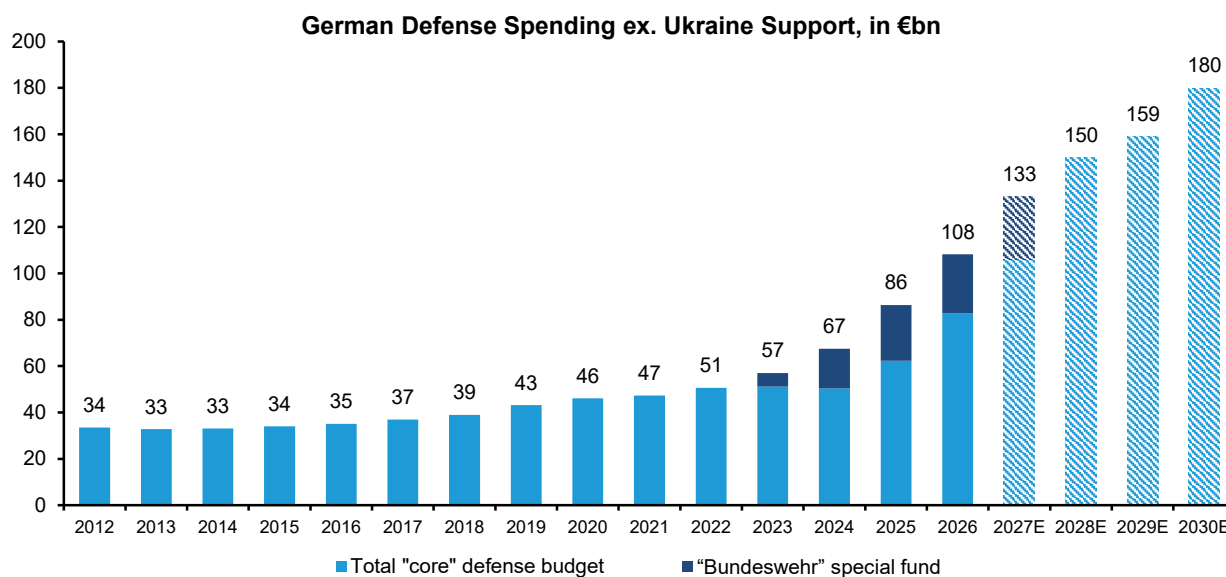
Local champions, US and Israel as key beneficiaries. Despite being vocal about the need to repatriate spending in Europe, Germany tends to allocate the budgets to local champions and a few large global players, almost only from the US and Israel. We do not expect this allocation to change much. Hence, we believe the German defense companies will capture most of the opportunity. Especially players who have large scale in domestic markets, as Germany benefits from strong capabilities in some segments (ammunition, land vehicles, naval...) but outsources some of the most advanced weapons (combat aircraft, missiles, air defense systems...). **Rheinmetall** should be the main beneficiary.

EXHIBIT 7: **Germany is the largest Defense market in Europe ex. Russia**

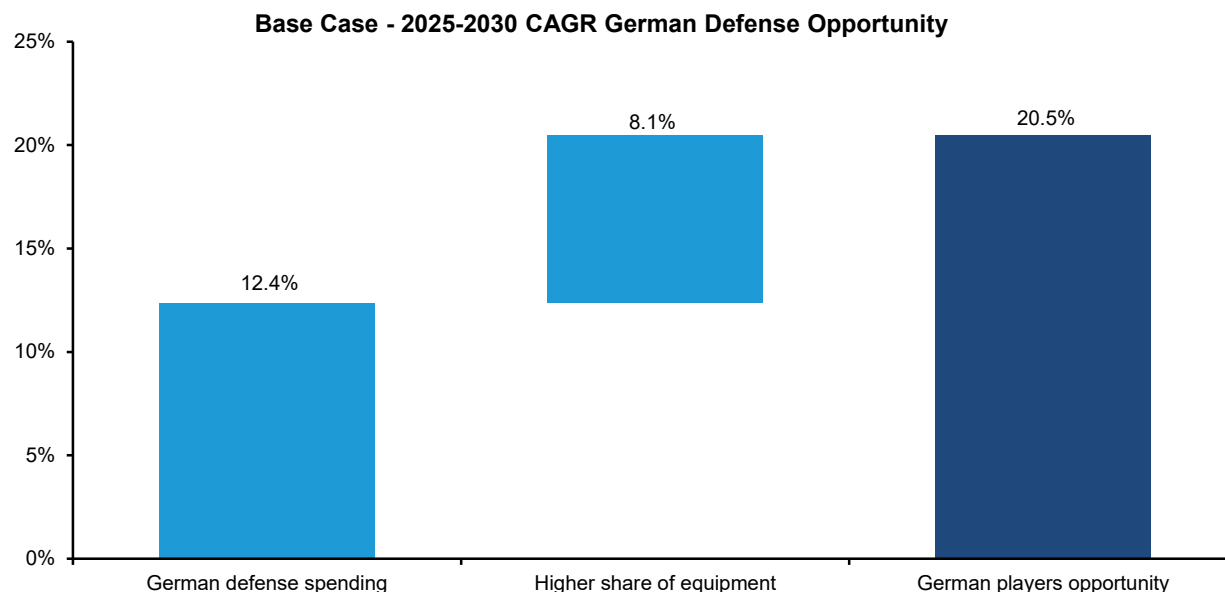
Source: SIPRI, Bernstein analysis

EXHIBIT 8: **Air is the largest spending segment among equipment spending over 2022-26...**

Source: Bundeshaushalt, Bernstein analysis

EXHIBIT 9: **The German defense budget is expected to grow by 12% until 2030**

Source: Bundeshaushalt, Deutscher Bundeswehrverband (DBwV), Bernstein analysis

EXHIBIT 10: **The German addressable market should grow at a +20.5% CAGR until 2030**

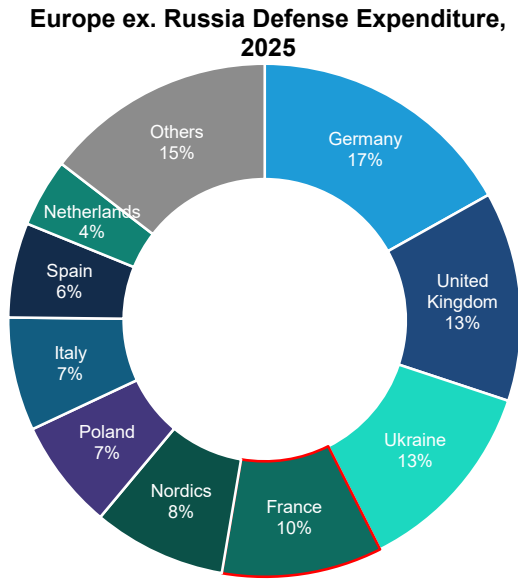
Source: NATO, Bernstein analysis and estimates

FRANCE

France is a purely domestic market. France is the ninth-largest market globally and fourth-largest in Europe. However, France is almost entirely sovereign, and does not import weapons. The French Defense industry is also a major global exporter, second only to the US globally.

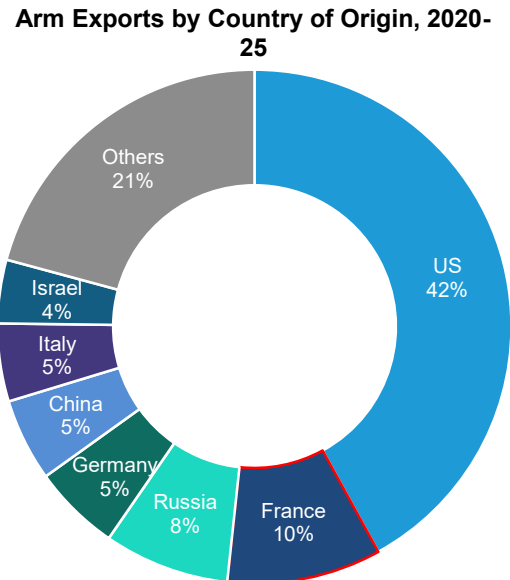
The French defense budget to grow at a +7% CAGR until 2030. France is re-arming at a slower pace than Germany, because of its softer fiscal power. To accelerate military spending towards the 3.5% of GDP target set by NATO, the French government created an updated 2024-30 defense budget, the LPM (*Loi de Programmation Militaire* or military planning act). **The LPM adds €36bn of spending over 2026-30.** Of the total €36bn, €9bn will be allocated to ammunition, €4bn to space, €3bn to combat aircraft, €3bn to transport aircraft, €2bn to drones, €2bn to land systems and €2bn to air defense. France is already allocating a large share of the budget to equipment (40%). We model the opportunity to grow at a +8% CAGR, to be captured by local players. **Thales** and **Dassault Aviation** are best positioned in our coverage.

EXHIBIT 11: **France is the fourth-largest Defense market in Europe**



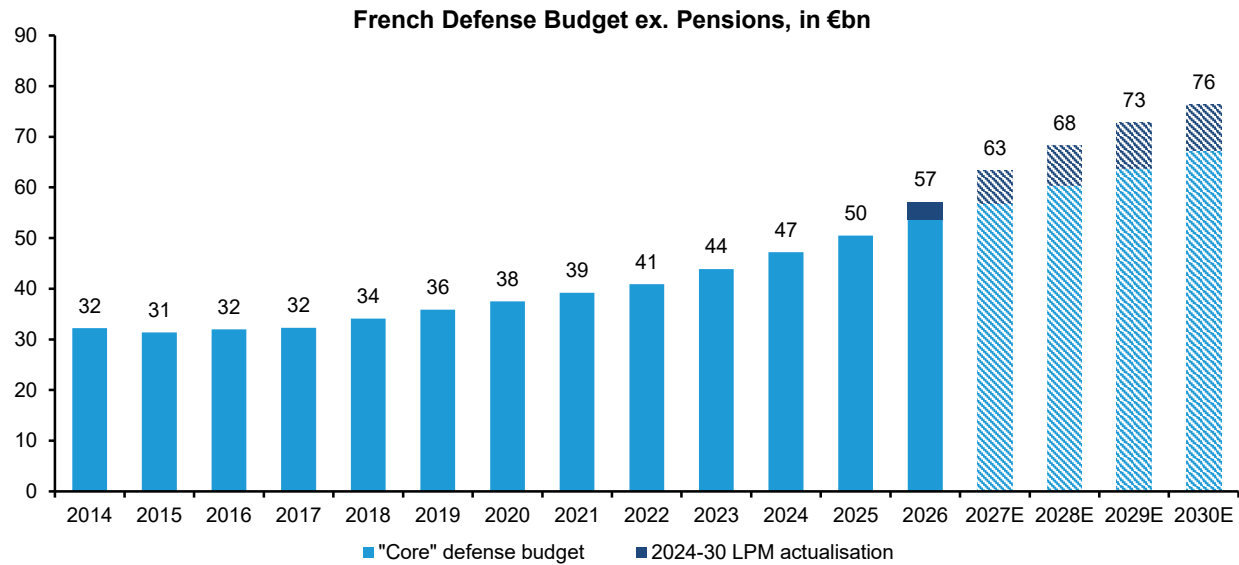
Source: SIPRI, Bernstein analysis

EXHIBIT 12: **...and the second-largest exporter in the world**

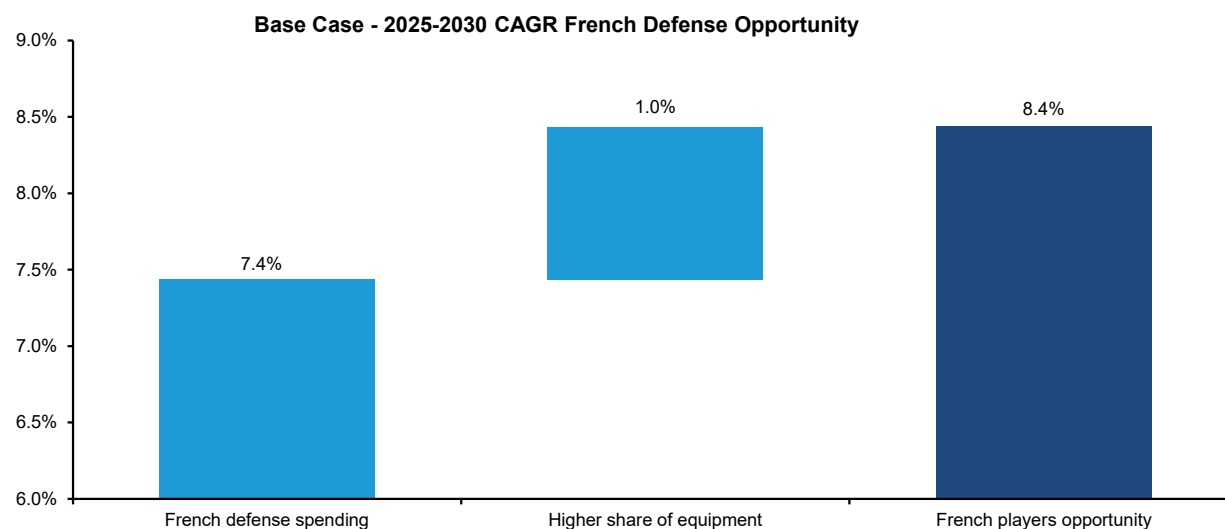


Source: SIPRI, Bernstein analysis

EXHIBIT 13: **French defense spending is expected to grow by +7% annually until 2030**



Source: Sénat Français, Bernstein analysis

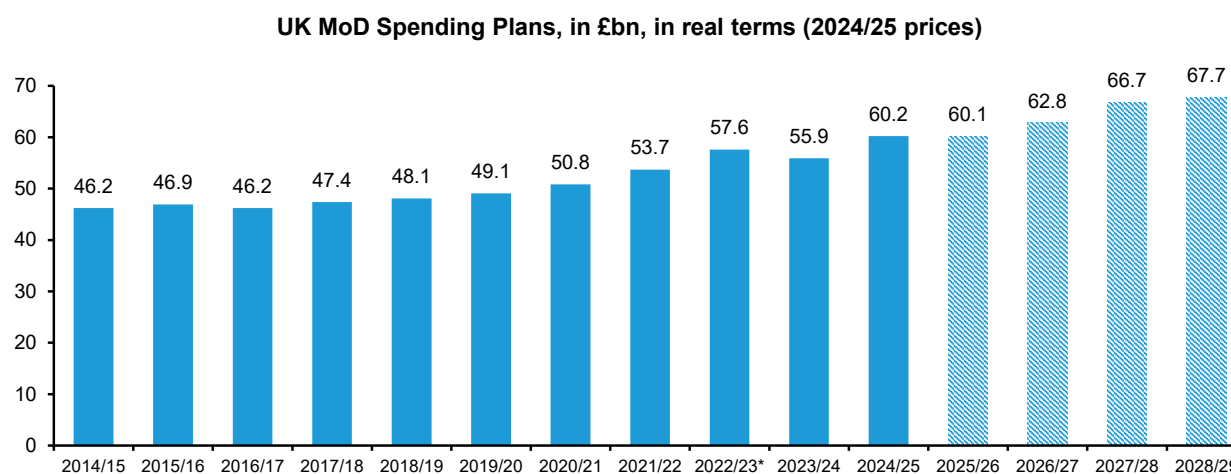
EXHIBIT 14: **The French addressable market is forecast to grow at an +8.4% CAGR until 2030**

Source: NATO, Bernstein analysis and estimates

UK

Slower growth in the UK. The United Kingdom's defense budgets are larger than France's. The country has committed to reaching 2.5% of spending by 2027, and has indicated its intention to take the budgets to 3% of GDP in the next parliament, depending on fiscal firepower. But, we only expect budgets to grow at a +3% CAGR until 2030, from current levels.

Imports are almost entirely American. The US accounts for the vast majority of UK imports, and are spread across many categories. In the country, the largest local player is **BAE Systems** and should maintain a dominant market share.

EXHIBIT 15: **The UK defense budget should grow slowly from current levels**

*2022/23 spend includes around £3bn to finance the implementation of accounting standard IFRS 16 (a non-cash movement)

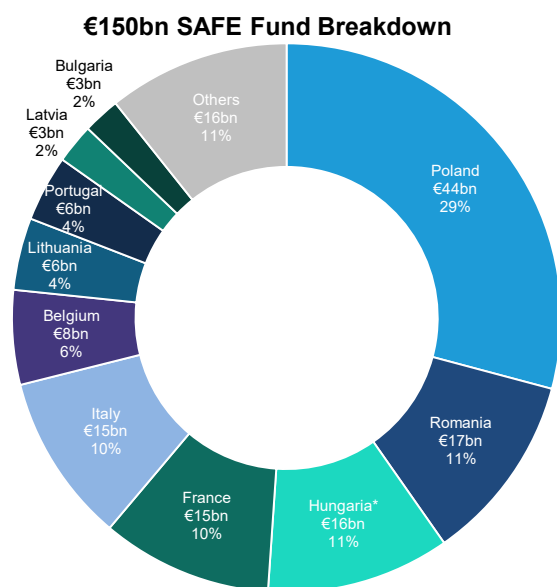
Source: UK Government, Bernstein analysis

SAFE FUND

In 2025, the Council of the European Union adopted the SAFE (Security Action for Europe). The SAFE is a €150bn fund aimed at supporting the member states to speed up defense readiness via competitive long-maturity loans. The SAFE funds require that defense equipment component costs are at least 65% from the EU, EEA-EFTA or Ukraine.

Romania inaugurated the SAFE fund spending its €17bn envelope on 21 procurement projects amounting to €9.5bn, €4.2 for dual use infrastructure and €2.8bn for the Ministry of Internal Affairs.

EXHIBIT 16: Poland, Romania and Hungaria benefit the most from the SAFE fund



*Currently under evaluation, tentative amounts as allocated in September 2025 following the expression of interest.

Source: European Commission, Bernstein analysis

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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VALUATION METHODOLOGY**Rheinmetall AG**

To value Rheinmetall, we estimate its EBITDA 5 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple and a premium to reflect its competitive positioning. We adjust for net debt to arrive at an equity value, discounted, and add the discounted value of cash distributions to shareholders, to reach our 12-month target. For Rheinmetall, we use an absolute EV/discounted 2029 EBITDA multiple of 13.7x to get to our price target of €1,900.

Thales SA

To value Thales, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month targets. For Thales, we use an absolute EV/EBITDA multiple of 13x to get to our price target of €260.

Dassault Aviation SA

To value Dassault Aviation, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month targets. For Dassault Aviation, we use an absolute EV/EBITDA multiple of 10.3x. We separately value Dassault's 25% stake in Thales through a dividend discount model, with a terminal growth rate of 6% assumed beyond our modeling horizon. We also remove an estimate of over-financing in the computation of Dassault's net cash position. All this gets to our price target of €330.

BAE Systems PLC

To value BAE Systems, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month targets. For BAE Systems, we use an absolute EV/EBITDA multiple of 13x to get to our price target of £20.50.

TKMS

To value TKMS, we estimate its EBITDA 5 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple and a premium to reflect its competitive positioning. We adjust for net debt, minorities and provisions to arrive at an equity value, discounted, and add the discounted value of cash distributions to shareholders, to reach our 12-month target. For TKMS, we use an absolute EV/EBITDA multiple of 11.1x to get to our price target of €76.

Leonardo SpA

To value Leonardo, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month

targets. For Leonardo, we use an absolute EV/EBITDA multiple of 11.7x to get to our price target of €65.

RISKS

Rheinmetall AG

Downside risks:

1. Potential cease-fire of Ukraine
2. Additional capacity in ammunition and ground vehicles comes to the market while demand shifts to long-cycle products
3. Execution risk as Rheinmetall shifts to a long-cycle portfolio

Thales SA

Downside risks:

1. Uncertainty in French defense budgets.
2. Slower recovery for commercial telecom satellites.
3. Prolonged Cyber weakness.

Dassault Aviation SA

Upside risks:

1. Continued order intake for Rafale program.
2. Falcon gradual improvement.
3. Margin improvement as Falcon 6X program matures.

Downside risks:

1. FCAS project uncertainty.
2. Softening of business jet demand, inability to ramp up Falcon deliveries due to supply chain challenges.
3. Higher than expected self-funded R&D investment.

BAE Systems PLC

Upside risks:

1. More favorable US environment and budgets.
2. Increased UK defense budgets.
3. Order intake boosted by superior portfolio outside the UK.

Downside risks:

1. Negative changes in US, UK, and/or international defense funding levels due to political and fiscal challenges.
2. Negative sentiment on the European defense group, including BAE Systems, if the conflict in Ukraine subsides.
3. Challenges on program execution could hold back growth, margins, and/or cash flow.

TKMS**Upside risks:**

1. Better profitability in key divisions. We see the risk of a positive surprise regarding the divisional profitability, which could highlight the turn around in a business that has been penalized by weak underlying fundamentals historically.
2. Invasion of Ukraine continues and the focus on European defense increases. TKMS should be among the most resilient, given the long cycle nature of the naval business and a significant order backlog.
3. Ongoing technical support for a rare European, long-cycle pure play within European defense.

Downside risks:

1. Further charges linked to legacy contracts which remain for longer.
2. F127 and F126 contracts not awarded to TKMS.
3. Poor operational execution slowing down the turnaround.

Leonardo SpA**Downside risks:**

1. Program execution challenges, as well as negative changes in US, European, and international defense funding levels.
2. Inability to realize the financial targets out to 2028.
3. Large transformations that involve expensive acquisitions.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

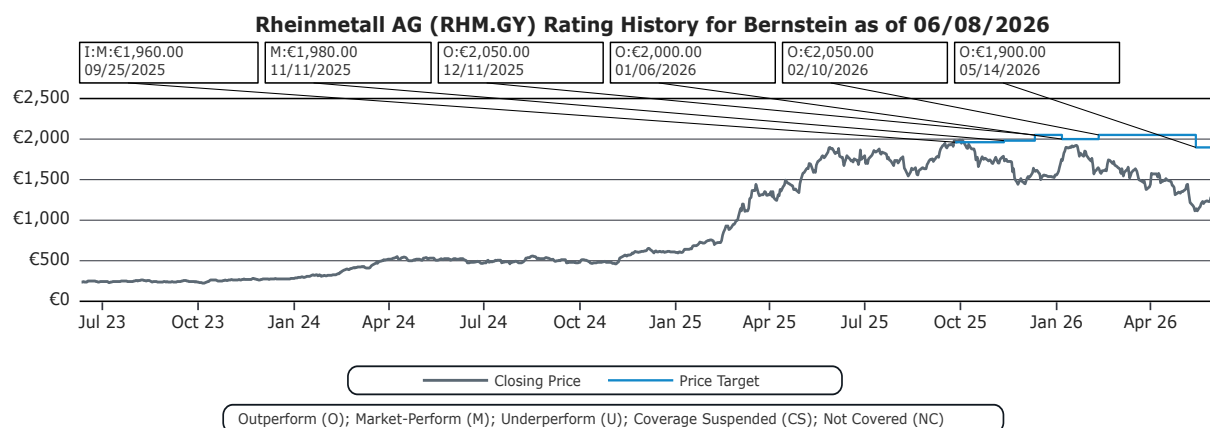
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

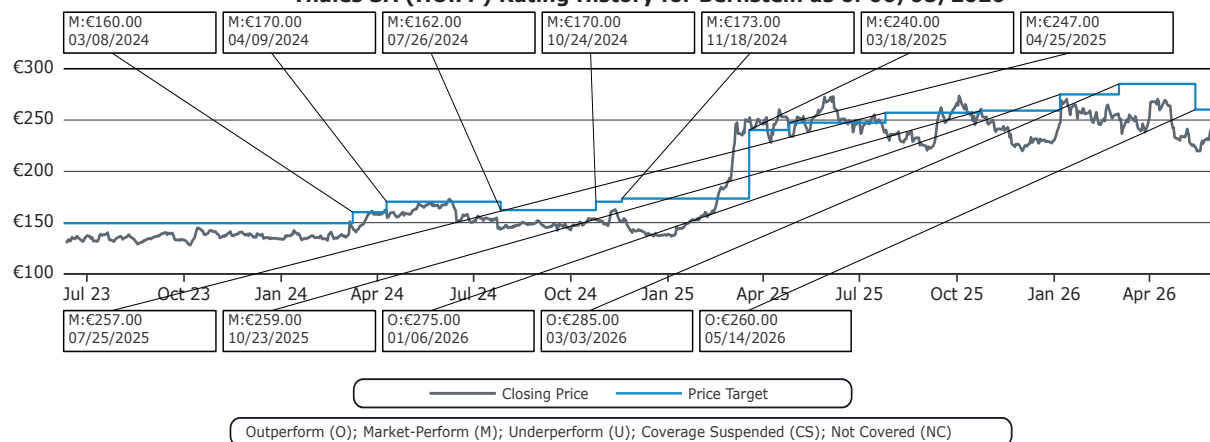
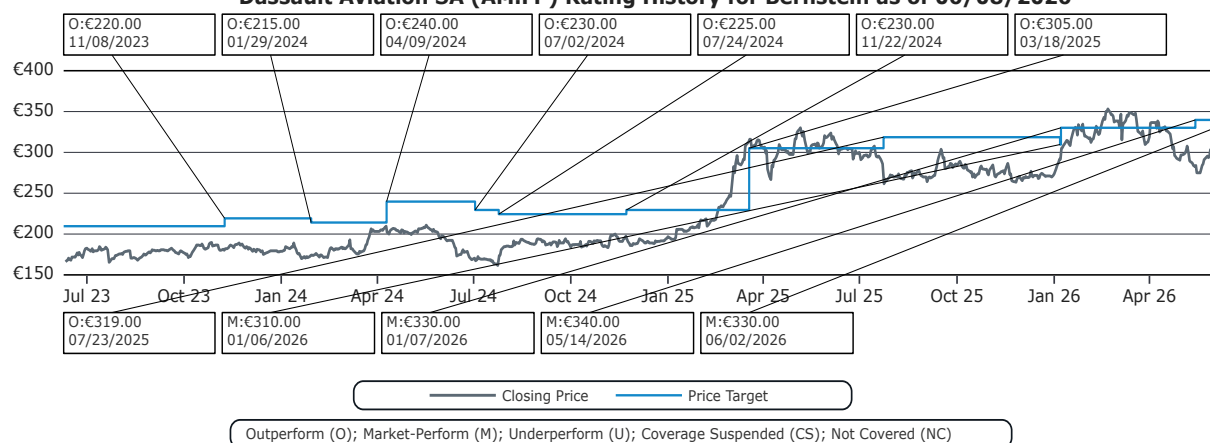
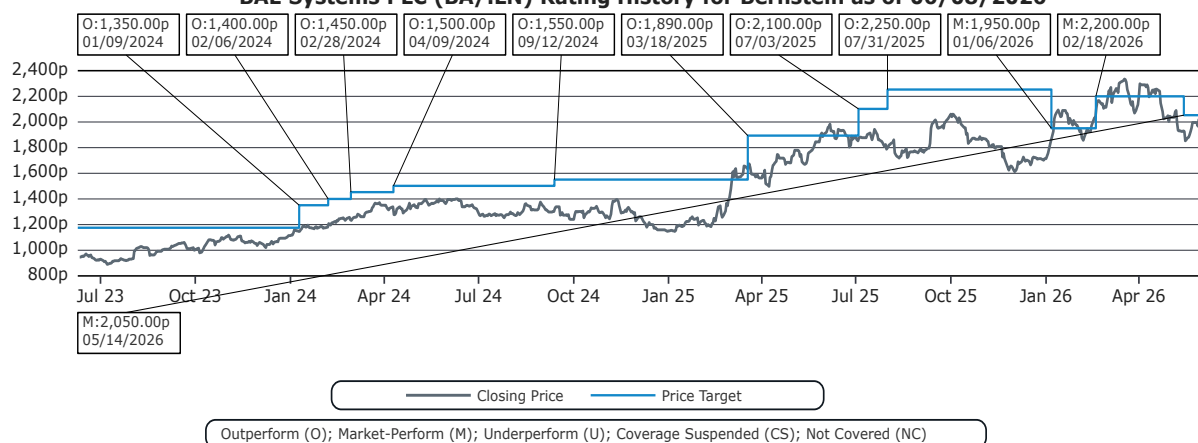
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.1%	16.5%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

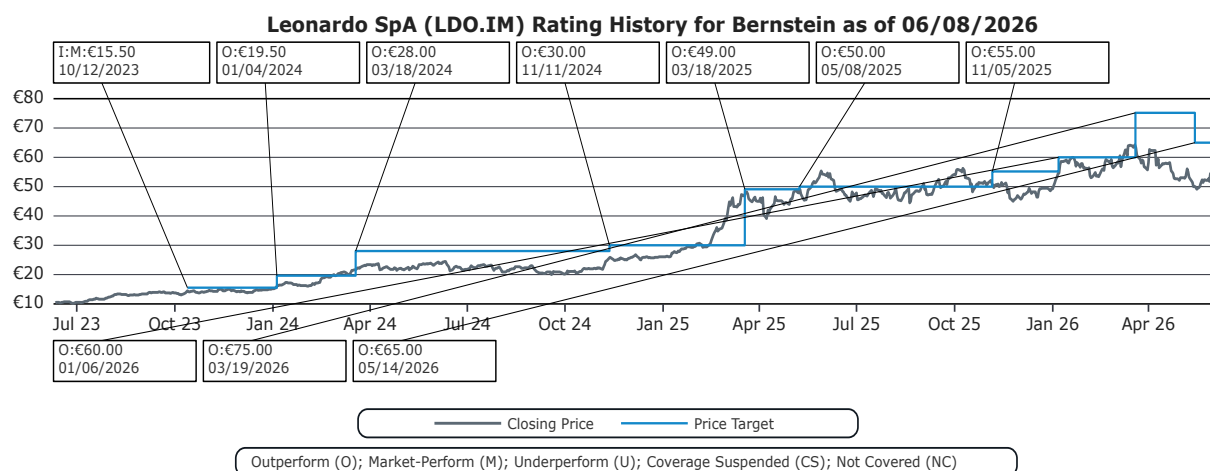
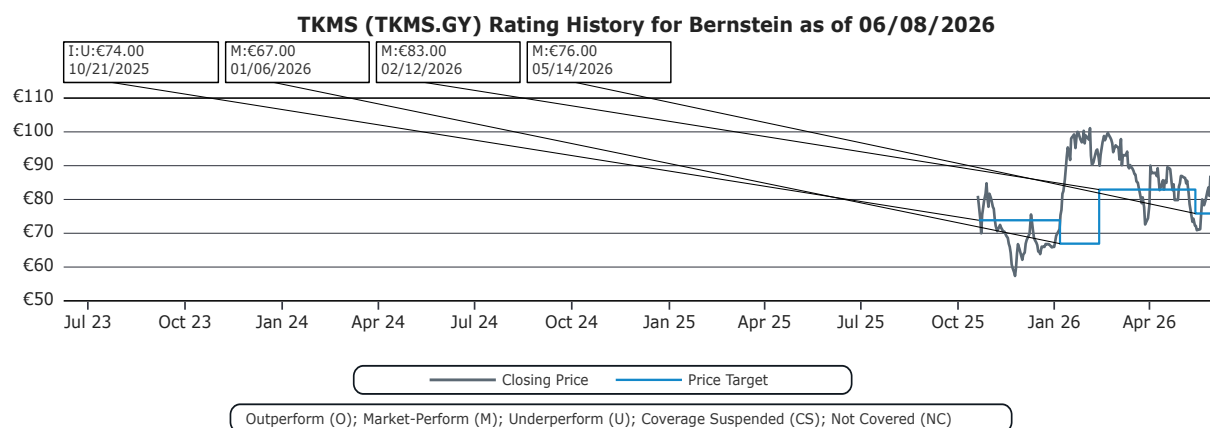
* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of March 31, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



Thales SA (HO.FP) Rating History for Bernstein as of 06/08/2026**Dassault Aviation SA (AM.FP) Rating History for Bernstein as of 06/08/2026****BAE Systems PLC (BA/.LN) Rating History for Bernstein as of 06/08/2026**



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: BAE Systems PLC.

Bernstein and/or affiliates expect to receive or intend to seek compensation for investment banking services in the next three months from Rheinmetall AG and Thales SA.

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